Global FDI growth continued to be very strong in the 1990s and India joined the ranks of high FDI-receiving countries, becoming part of the top category of FDI recipients—countries that recorded over 30 per cent rate of growth between 1986 and 2000, as per the World Investment Report, 2000. In the past few years, India has become one of the ten highest FDI recipient countries in the world.

IP-1991 Signalled Technology As Key to Competitiveness

India initially accepted international technology to build steel plants, power machinery and other basic industries in the 1950s. However, we gradually developed an acutely short-sighted approach towards technology in the name of self-reliance. Import substitution became the key industrial policy in 1960s and 1970s. In line with this mindset, the country became averse to foreign technology imports. By 1980s, we had one of the most obscurantist and closed technology import regimes. Meanwhile, East Asia was building its industrial muscle by importing technology and reverse engineering the same.

IP-1991 signalled a complete change of mindset. India decided to grant automatic permission for foreign technology imports in high priority industries (Annexure III) and liberalized payment rules for royalties and technical fees. Payment of technology imports—lumpsum Rs 1 crore or limited to 5 per cent royalty for domestic sales and 8 per cent for exports—were permitted freely. Even for non-Annexure III industries, royalties could be paid at these rates if no free foreign exchange was required for payment. Likewise, no permission was required for hiring foreign technicians and foreign testing of indigenously developed technologies. The lumpsum payment limit was raised to $2 million in the early 1990s.

There was an attempt in 2015–2018 to roll back India’s free technology import regime on account of the misplaced perception that there was a large